Company	Earned per share in successive years								
	1st	2nd	3d	4th	5th	6th	7th (current)	Average of 7 years	Trend
A	$ 1	$ 2	$ 3	$ 4	$5	$6	$7	$ 4	Excellent
B	7	7	7	7	7	7	7	7	Neutral
C	13	12	11	10	9	8	7	10	Bad

On the basis of these figures the better the trend, when compared with the same current earnings (in this case $7 per share), the poorer the average and the higher the average the poorer the trend. They suggest an important question respecting the theoretical and practical interpretation of earnings records: Is not the trend at least as significant for the future as the average? Concretely, in judging the probable performance of Companies *A* and *C* over the next five years, would not there be more reason to think in terms of a sequence of $8, $9, $10, $11, and $12 for *A* and a sequence of $7, $6, $5, $4, and $3 for *C* rather than in terms of the past average of $4 for *A* and $10 for *C*?

The answer to this problem derives from common sense rather than from formal or *a priori* logic. The favorable trend of Company *A*'s results must certainly be taken into account, but not by a mere automatic projection of the line of growth into the distant future. On the contrary, it must be remembered that the automatic or normal economic forces militate *against* the indefinite continuance of a given trend.[3] Competition, regulation, the law of diminishing returns, etc., are powerful foes to unlimited expansion, and in smaller degree opposite elements may operate to check a continued decline. Hence instead of taking the maintenance of a favorable trend for granted—as the stock market is wont to do—the analyst must approach the matter with caution, seeking to determine the causes of the superior showing and to weigh the specific elements of strength in the company's position against the general obstacles in the way of continued growth.

Attitude of Analyst Where Trend Is Upward. If such a *qualitative* study leads to a favorable verdict—as frequently it should—the analyst's philosophy must still impel him to base his investment valuation on an assumed earning power no larger than the company has already achieved

[3] See our discussion of the Schletter and Zander example in Chap. 27.